

Advance Ruling

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Advance tax

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Agriculture Income

Agricultural income refers to income earned by a person from agricultural land situated in India.

Alternate Minimum Tax (AMT)

Alternate Minimum Tax is the tax levied on income of non-companies at a prescribed rate in case the tax payable by them on normal income is less than AMT on adjusted total income.

Alternate Minimum Tax (AMT) Credit

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Assessing Officer

"Assessing Officer" means the Assistant Commissioner or Deputy Commissioner or Assistant Director or Deputy Director or the Income-tax Officer who is vested with the relevant jurisdiction by virtue of directions or orders issued under [section 120\(1\)/\(2\)](#) or any other provision of the Income-tax Act.

AO also includes the Additional Commissioner or Additional Director or Joint Commissioner or Joint Director who is directed under [section 120\(4\)\(b\)](#) to exercise or perform all or any of the powers and functions conferred on, or assigned to, an Assessing Officer under the Income-tax Act.

Assessment

The process of examining the return of income by the Income-tax department is called assessment.

Assessment Year

Assessment Year means the period of twelve months commencing on the 1st day of April every year.

B

Belated Return

A return of income is filed after the expiry of due date is called belated return of income

Best Judgement assessment

Best Judgment Assessment means estimation of taxable income of an assessee by the Assessing Officer based on available information and resources. This assessment takes place if assessee does not cooperate in assessment proceedings or if correct profit cannot be calculated based on books of accounts maintained by the assessee.

C

Capital Asset

The term 'capital asset' means:

- a) Property of any kind, held by an assessee, whether or not connected with his business or profession;
- b) Any securities held by a FII which has invested in such securities in accordance with the SEBI Regulations;

c) Any unit linked insurance policy to which exemption under [Section 10\(10D\)](#) does not apply on account of applicability of the *fourth and fifth proviso* [High premium equity oriented ULIPs]

Carry forward of losses

Carry forward of losses means carrying forward losses from current financial to next financial year in order to offset losses from future profits.

Compounding of Offences

Compounding of an offence is a mechanism whereby the defaulter is reprieved of major legal consequences by affording him with an opportunity to pay a sum of money to escape prosecution.

Cost Inflation Index

The Central Board of Direct Taxes (CBDT) notifies the Cost of Inflation Index (CII) every year. It is used to compute long-term capital gains/losses wherein the cost of acquisition/improvement is indexed with reference to the applicable CII of the relevant year.

D

Deductee

A deductee is a person from whom tax is being deducted in accordance with the provisions of the Income-tax Act

Deductor

A deductor is a person who is required to deduct tax at source as mandate by the various provisions of the Income-tax Act

Deemed assessee

A deemed assessee is a person who is assessable in respect of income or loss or refund of any other person. It includes a representative assessee, a legal representative, an agent of a non-resident, etc.

Dividend

Dividend is an appropriation of net profit that an entity pays out to its shareholders. Dividend received is treated as income by the receiver.

Double Taxation Avoidance Agreement (DTAA)

Double Taxation Avoidance Agreements (DTAA) is an agreement entered into by the Central Government with the foreign countries or specified territory for granting relief, avoidance of double taxation, exchange of information for preventing evasion or avoidance of tax or for recovery of tax.

E

Eligible Startup

An eligible start up is a company or a limited liability partnership which fulfils the conditions prescribed under [section 80-IAC](#).

F

Fees for Technical Services

As per [section 9](#) of the Income-tax Act, Fees for technical services (FTS) means any consideration (including lump sum consideration) for the rendering of any managerial, technical or consultancy services (including provision for services of any technical or other personnel). However, it does not include the consideration for any construction, assembly, mining or like project undertaken by the recipient or consideration which would be income of the recipient chargeable under the head 'Salaries'.

Foreign Tax Credit

Foreign Tax Credit (FTC) is a mechanism that allows taxpayers to claim credit for taxes paid in a foreign country against their tax liability in India.

Form 26AS

[Form 26AS](#) is a tax passbook of an assessee which contains a complete record of tax deducted at source (TDS), tax collected at source (TCS), advance tax paid, self-assessment tax paid, and any other tax payment made by the taxpayer. It also contains details of tax refunds received by the taxpayer during the financial year.

I

Income escaping assessment or Reassessment

Income escaping assessment or reassessment is a process by which tax authorities re-examine the income tax returns of the taxpayers in order to verify whether any income has been understated or not reported.

Income Tax

Income tax in India is governed by Entry 82 of the Union List of the Seventh Schedule to the Constitution of India, empowering the Central Government to tax the income. Income-tax law consists of Income-tax Act, 1961, Income-tax Rules 1962, circulars and notifications issued by the CBDT, annual Finance Acts, and judicial pronouncements by the Supreme Court, High Courts and Income-tax Appellate Tribunals.

Income Tax Appellate Tribunal

The Income Tax Appellate Tribunal (ITAT) is a quasi-judicial body established under the Income Tax Act 1961. It is an independent body that hears appeals against the orders passed by the lower authorities, such as the Assessing Officer, Commissioner of Income Tax (Appeals), and Dispute Resolution Panel.

Interest

The term interest means interest payable in any manner in respect of any moneys borrowed or debt incurred (including a deposit, claim or other similar right or obligation) and includes any service fee or other charge in respect of the moneys borrowed or debt incurred or in respect of any credit facility which has not been utilised.

International Transaction

For the purpose of transfer pricing, international transaction means a transaction between two or more associated enterprises, either or both of whom are non-residents, in the nature of purchase, sale or lease of tangible or intangible property, or provision of services, or lending or borrowing money, or any other transaction having a bearing on the profits, income, losses or assets of such enterprises, and shall include a mutual agreement or arrangement between two or more associated enterprises for the allocation or apportionment of, or any contribution to, any cost or expense incurred or to be incurred in connection with a benefit, service or facility provided or to be provided to any one or more of such enterprises.

K

Keyman Insurance Policy

Keyman insurance policy is a life insurance policy generally taken by an employer on the life of his key employees.

L

Legal Representative

Legal representative has the meaning assigned to it in clause (11) of section of the Code of Civil Procedure, 1908.

Liable to tax

Liable to tax, in relation to a person and with reference to a country, means that there is an income-tax liability on such person under the law of that country for the time being in force and shall include a person who has subsequently been exempted from such liability under the law of that country.

Long-term Capital Asset

A capital asset is classified as 'long-term' if it does not fall under the definition of a short-term capital asset. In general, a capital asset is deemed as 'short-term' if it is held by an assessee for a period of not more than 24 months (36 months if transfer takes place before 23-07-2024) immediately preceding the date of its transfer. However, the holding period is reduced from 24 months to 12 months for the following capital assets:

- (a) Listed securities (equity shares, preference shares debentures, bonds, units* etc.);
- (b) Units of UTI (listed or unlisted);
- (c) Units of equity-oriented fund (listed or unlisted);
- (d) Zero Coupon Bonds (Listed or Unlisted).

Therefore, listed securities, units of UTI, units of equity-oriented funds, and zero-coupon bonds are considered long-term if held for more than 12 months. Other capital assets are treated as long-term if held for more than 24 months.

Long-term capital gains

Gain arising on transfer of long-term capital asset is termed as long-term capital gain.

M

Maximum Marginal Rate (MMR)

The Maximum Marginal Rate (MMR) is the rate of income tax (including surcharge and health & education cess) for the highest slab of income applicable to an individual, AOP or BOI.

Minimum Alternate Tax (MAT)

Minimum Alternative Tax (MAT) is a provision under the Income-tax Act that requires companies to pay a minimum amount of tax computed on book profit. 'Book profit' is computed by making specified additions and deletions to the profits determined as per statement of profits of the company.

Minimum Alternate Tax (MAT) Credit

The tax paid by way of minimum alternate tax in excess of the amount of tax as per general provision is deemed as MAT Credit.

Misreporting of income

Misreporting of income refers to the act of providing inaccurate or false information to the tax authorities. The scenario of under reporting of income is mentioned under [section 270A](#).

N

Non-Resident

A person is said to be a non-resident if he is not a resident in India as per [Section 6](#) of the Income-tax Act.

Penalty

Penalty is a punitive action imposed by the tax authorities for non-compliance with the provisions of the Income-tax Act. The penalty may be levied for various reasons, including failure to pay taxes, failure to maintain books of account, etc.

Permanent Account Number (PAN)

The Permanent Account Number (PAN) is a ten-digit alphanumeric number, issued for the purpose of identification of a taxpayer. PAN has to be mentioned in all communications with the Income-tax Dept. and in specified financial transactions which exceed the threshold limit.

Perquisite

Perquisite means emoluments made available to an employee for his personal benefits or use which is in addition to regular salary or wages. The perquisite may be in cash or in kind or in money or money's worth, and also amenities which are not convertible into money.

Person

Person includes an individual, a Hindu undivided family, a company, a firm, an association of persons or a body of individuals, whether incorporated or not, a local authority, and every artificial juridical person, not falling within any of the preceding sub-clauses.

Prescribed

Prescribed means prescribed by rules made under the Income-tax Act.

Previous Year

Previous Year means the financial year immediately preceding the assessment year.

In the case of a business or profession newly set up or a source of income newly coming into existence in a financial year, the previous year shall be the period beginning with the date of setting up of the business or profession or the date on which the source of income newly comes into existence and ending with the said financial year.

Profits in lieu of salary

Any payment received or due in addition to employee's salary or wages received from employer is referred to as Profit in lieu of salary. It includes compensation paid for termination of employment, payment from provident fund, payment under keyman insurance policy, etc.

Prosecution

Prosecution is legal action against a taxpayer who has committed an offence under the Income-tax Act. The Income-tax Act specifies various offences, such as failure to file tax returns, pay taxes, provide false information, etc.

R

Rectification

Rectification is a process of correcting errors or mistakes in the order passed by the Income-tax authorities. The power to rectify the mistake may be exercised by the authority concerned on his own initiative or when mistake is brought to his notice by the assessee concerned.

Relative

Relative, in relation to an individual, means the husband, wife, brother or sister or any lineal ascendant or descendant of that individual.

Resident

[Section 6](#) lays down the rules for determining of residential status of a person. The residential status depends upon various conditions such as:

- a) Period of Stay in India in Current Year;
 - b) Period of Stay in India Previous Years;
 - c) Whether the assessee is liable for tax in any other country; and
 - d) Other conditions as specified said section.
-

Return of income

Return of income is the format in which the assessee furnishes information related to his total income and tax payable. It is a declaration of income by the assessee in the prescribed format.

Revised Return

A return filed to remove the error or omissions made in the original return is treated as revised return.

S

Scrutiny Assessment

Scrutiny Assessment is a thorough examination of the income-tax return submitted by the assessee. It is done to ensure that the assessee has not understated the income or under-paid the tax. An opportunity is provided to the assessee to produce evidences and prove the correctness of particulars disclosed by him.

Self-assessment tax

'Self-Assessment' means calculation of total income and tax liability thereon by the assessee himself. It is after 31st March but before filing of return of income.

Senior Citizen

'Senior citizen' means an individual whose age is 60 years or more at any time during the relevant previous year but less than 80 years on the last day of the previous year.

Set off of Losses

Set off of losses refers to the practice of offsetting losses incurred in one source of income against profits earned in another source of income.

Short-term Capital Asset

In general, a capital asset is deemed as 'short-term' if it is held by an assessee for a period of not more than 24 months (36 months if transfer takes place before 23-07-2024) immediately preceding the date of its transfer. However, the holding period is reduced from 24 months to 12 months for the following capital assets:

- (a) Listed securities (equity shares, preference shares debentures, bonds, units etc.);
 - (b) Units of UTI (listed or unlisted);
 - (c) Units of equity-oriented fund (listed or unlisted);
 - (d) Zero Coupon Bonds (Listed or Unlisted).
-

Short-term Capital Gains

Gain arising on transfer of short-term capital asset is termed as short-term capital gain.

Significant Economic Presence

Significant economic presence shall mean:

- a) Any transaction in respect of any goods, services or property carried out by a non-resident with any person in India, including provision of download of data or software in India if the aggregate of payments arising from such transaction or transactions during the previous year exceeds Rs. 2 crores; or
 - b) Systematic and continuous soliciting of business activities or engaging in interaction with 3 lakh users in India.
-

Speculative Transaction

Speculative transaction means a transaction in which a contract for the purchase or sale of any commodity including stock and shares is periodically or ultimately settled otherwise than through actual delivery or transfer of the commodity or scrips.

Statement of Financial Transaction

Statement of Financial Transaction (SFT) is a reporting mechanism wherein specified entities are required to provide information about material financial transactions entered into by certain person to the Income-tax Dept.

Summary Assessment

Summary Assessment refers to processing of return by the Centralized Processing Centre (CPC). A return is processed automatically to verify the correctness of arithmetical calculations, deductions claimed, etc.

Super-senior Citizen

'Super senior citizen' means an individual whose age is 80 years or more at any time during the relevant previous year.

T

Tax Collected at Source

Tax Collected at Source is the amount of tax collected by specified person in specified transactions from the buyer or licensee or lessee, etc.

Tax Deducted at Source

The concept of "Tax Deducted at Source", commonly known as TDS ensures regular flow of revenue to the Government. The payer of income is required to deduct tax from certain payments at the prescribed rates and deposit it to the credit of the Central Government within the prescribed time.

Tax Deduction and Collection Number (TAN)

Tax Deduction & Collection Account Number (TAN) is a 10 digit alpha numeric number to be obtained by all persons who are responsible for deducting or collecting tax.

TDS Certificates

TDS certificate is certificate issued by the person who is required to deduct tax at source. TDS certificate specifies the rate of TDS, TDS amount and such other particulars as may be prescribed related to taxpayer.

TDS Return

A TDS statement (TDS return) is statement of TDS filed by a person responsible for deduction of tax source. It contains particulars related to all deduction of tax made by person during a quarter.

Total Income

The total income of a person shall include all income which is received or is deemed to be received in India or which accrues or arises or is deemed to accrue or arise in India to the assessee in a particular year. Further, income accruing or arising outside India shall also be included in the total income but only in case of a person resident in India. However, if the person is not ordinarily resident in India, income accruing or arising outside India shall be included in the total income only if it is derived from a business controlled in or a profession set up in India.

Transfer Pricing

The purpose of transfer pricing is to ensure that transactions between related parties are conducted at arm's length, meaning the price should be similar to what would be paid in a transaction between unrelated parties.

U

Under reporting of income

Underreporting of income means an act of intentionally or unintentionally reporting a lower income or not reporting income at all in the income tax return. The scenario of under reporting of income is mentioned under [section 270A](#).

Unit Linked Insurance Plan

Unit Linked Insurance Plan is a hybrid investment option which consists of a mix of insurance and investment to serve the needs of the respective investors. The amount of premium of a ULIP scheme is partly towards the insurance of the policyholder and partly towards the investment. The investable portion of the premium is invested in equity, debt, money market or a mix of all based on the goals and risk appetite of the investor.

Updated Return

An updated return is a return of income that can be filed by a person even after the expiry of time limits specified for the filing of original, belated or revised return of income.

V

Virtual Digital Assets

"virtual digital asset" means—

- a) any information or code or number or token (not being Indian currency or foreign currency), generated through cryptographic means or otherwise, by whatever name called, providing a digital representation of value exchanged with or without consideration, with the promise or representation of having inherent value, or functions as a store of value or a unit of account including its use in any financial transaction or investment, but not limited to investment scheme; and can be transferred, stored or traded electronically;
- b) a non-fungible token or any other token of similar nature, by whatever name called;
- c) any other digital asset, as the Central Government may, by notification in the Official Gazette, specify:

Provided that the Central Government may, by notification in the Official Gazette, exclude any digital asset from the definition of virtual digital asset subject to such conditions as may be specified therein.